

CAMBODIA

Table 1 **2022**

Population, million	16.8
GDP, current US\$ billion	29.6
GDP per capita, current US\$	1768.1
School enrollment, primary (% gross) ^a	102.9
Life expectancy at birth, years ^a	70.4
Total GHG emissions (mtCO ₂ e)	77.8

Source: WDI, Macro Poverty Outlook, and official data.
a/ WDI for School enrollment (2021); Life expectancy (2020).

Cambodia's economy continued to recover in 2022. The recovery of the services sector is strengthening, driven largely by pent-up consumer demand. Economic growth for 2023 is projected to reach 5.2 percent, underpinning poverty reduction. Downside risks include a marked slowdown in external demand, further global financial tightening, and renewed oil price shock. Domestically, the concentration of domestic credit in the construction sector remains a key risk to financial stability. On the upside, China's reopening presents an opportunity for Cambodia to boost its travel and tourism industry and attract FDI inflows.

Key conditions and challenges

After shifting to “living with COVID-19” in late 2021, the economy has gradually recovered with real GDP growth estimated to have accelerated to 5.2 percent in 2022. Initially led by a recovery of export-oriented manufacturing, growth drivers have started rotating to the services sector, which is accelerating, driven by pent-up consumer demand and the return of foreign tourists. This is offsetting a recent decline in Cambodia's goods exports hit by the recent slowdown in external demand. Domestic consumption is also being boosted by the easing of inflation which declined to 2.9 percent y/y in December 2022 as energy and food prices stabilized. Near-term risks are tilted to the downside. An extended slowdown in external demand is expected to further weaken Cambodia's export-oriented manufacturing which generates about 40 percent of total employment in the industrial sector (17.3 percent of total non-farm employment). Continued global financial tightening is expected to affect the highly leveraged financial sector which has been partly behind the recent construction boom. A renewed oil price shock may stoke up inflation and dampen domestic consumption. On the upside, China's reopening presents an opportunity for Cambodia to boost its travel and tourism industry and attract FDI inflows. Over the medium term, more open trade and investment

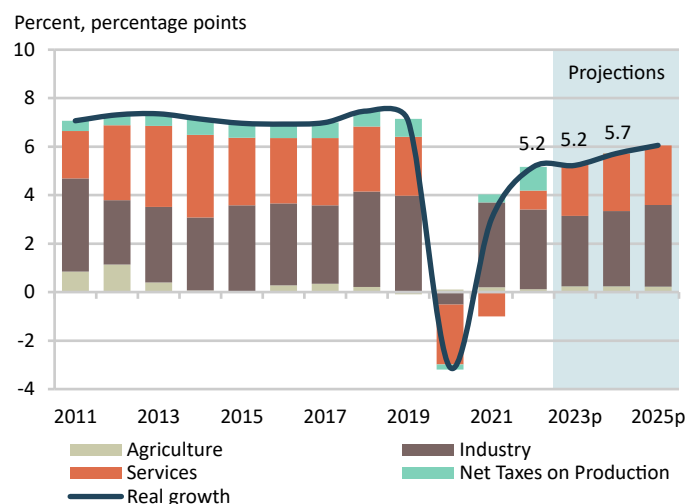
policies, anchored in Cambodia's participation in bilateral and regional free trade agreements, including the Regional Comprehensive Economic Partnership (RCEP), Cambodia-China Free Trade Agreement, and Cambodia-South Korea Free Trade Agreement, are expected to support further export-led growth.

Recent developments

Cambodia's economic recovery solidified in 2022 with growth accelerating to 5.2 percent. However, recent high-frequency indicators suggest weakening external demand. Caused largely by the decline in exports to the U.S. and EU markets, total goods (excluding gold) exports contracted at 17.1 percent y/y in January 2023, compared to an average growth rate of 6.7 percent in 2019. In contrast, the services sector, especially in the retail, travel, and tourism industry is quickly accelerating, driven largely by pent-up consumer demand. In 2022, international arrivals picked up, reaching 2.2 million. Approved FDI-financed project value expanded at 75.4 percent y/y, reaching US\$1.15 billion in 2022.

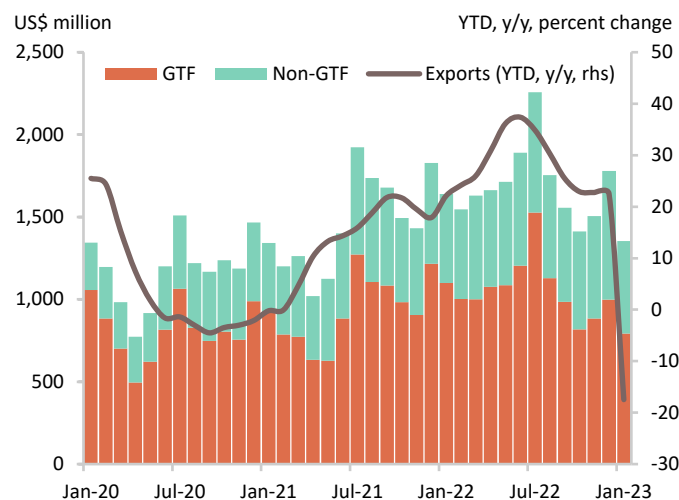
Meanwhile, inflation eased significantly, declining to 2.9 percent y/y in December 2022 as energy and food prices decelerated. The nominal exchange rate continued to be broadly stable, hovering at riel 4,100 per U.S. dollar. Gross international reserves, however, declined marginally to US\$17.8 bln, covering about 7 months of imports. In 2022, the current accounts

FIGURE 1 Cambodia / Real GDP growth and sectoral contributions to real GDP growth



Sources: Cambodian authorities and World Bank staff projections.
Note: e = estimate; p = projection.

FIGURE 2 Cambodia / Merchandise exports (excluding gold)



Source: Cambodian authorities.
Notes: GTF = garment, travel goods, and footwear (and other textile products); YTD = year-to-date; y/y = year-on-year; and rhs = right-hand scale.

deficit narrowed, thanks to strong exports. Broad money growth decelerated to 8.2 percent y/y in December 2022 as foreign currency deposit growth moderated, while credit growth eased to 18.9 percent.

In 2022, central government revenue collection surged, growing at 19.5 percent, helping contain the overall fiscal deficit which is estimated to have narrowed to 4.7 percent of GDP, boosting government deposits (fiscal reserves) to reach riel 13.5 trillion (US\$3.3 billion).

On the spending side, the government extended the COVID-19 cash transfer program with an additional budget of roughly US\$400 million. The program has benefited approximately 690,000 households or 17 percent of the population. As of January 2023, it has disbursed US\$ 932 million since the launch in June 2020. In addition, the government has launched a new cash transfer program for households at risk due to inflationary pressures, targeting 600,000 vulnerable households with a planned budget of US\$65 million. The new cash subsidy aims to some extent stabilize the living condition of vulnerable households during hardship. The poverty rate measured at the national poverty line was

17.8 percent in 2019/20. The employment number was estimated at 8.96 million in 2021, compared with 8.8 million in 2019/20. The minimum wage for the garment, travel goods, and footwear industry increased to US\$ 200 per month in 2023.

Outlook

Despite a slowdown in external demand, Cambodia's real GDP growth for 2023 is projected to reach 5.2 percent. The fiscal balance is projected to continue to normalize on the back of stronger revenue collection. While goods exports are expected to slow, the external current account deficit is projected to improve to 19.3 percent of GDP on the back of the recovering tourism sector and services exports. Continued strong FDI inflows and concessional financing will cover external financing needs.

Over the medium term, the economy is expected to trend back to potential, growing at 6 percent. Goods and services exports and strong FDI inflows are expected to be bolstered by the newly ratified free trade

agreements, a substantial increase in private and public investment, especially under public-private partnership, in key physical infrastructure such as seaports and roads that the country experienced during the COVID-19 period and beyond, and structural reforms. Poverty is expected to decline due to the projected economic recovery and moderating inflation. Worsening education performance, with a decline in the net enrollment rate and rising number of children out of school several years prior to the pandemic, is one of the major scars. It will likely affect future growth and more importantly, inequality in Cambodia.

The outlook is, however, subject to downside risks which include an extended slowdown in the U.S. and European Union, further global financial tightening, and a renewed global energy price shock. Given lags in monetary policy transmission, the full impact on activity of last year's monetary policy tightening cycle has yet to fully materialize. In this regard, rising financial market stress, together with intensifying geopolitical tensions, is considered one of the main risks to Cambodia's projected path to economic recovery.

TABLE 2 Cambodia / Macro poverty outlook indicators

(annual percent change unless indicated otherwise)

	2020	2021	2022e	2023f	2024f	2025f
Real GDP growth, at constant market prices	-3.1	3.0	5.2	5.2	5.7	6.1
Private Consumption	-4.0	-0.7	9.5	1.7	1.5	1.3
Government Consumption	12.5	-28.3	23.3	13.7	22.0	5.5
Gross Fixed Capital Investment	-2.7	6.8	19.6	14.5	14.2	2.1
Exports, Goods and Services	-11.3	13.5	20.7	6.9	10.3	14.3
Imports, Goods and Services	-8.9	23.1	22.3	6.5	9.3	9.3
Real GDP growth, at constant factor prices	-3.1	2.9	5.1	5.2	5.7	6.1
Agriculture	0.6	1.2	0.7	1.5	1.5	1.5
Industry	-1.4	9.4	8.3	7.1	7.5	8.0
Services	-6.3	-2.7	3.5	4.8	5.5	5.7
Inflation (Consumer Price Index)	2.9	2.8	5.5	2.5	2.5	2.0
Current Account Balance (% of GDP)	-12.4	-42.6	-26.3	-19.3	-16.1	-13.1
Net Foreign Direct Investment Inflow (% of GDP)	13.5	12.6	12.6	13.5	15.0	13.7
Fiscal Balance (% of GDP)	-4.9	-7.0	-4.7	-5.5	-3.7	-3.2
Revenues (% of GDP)	23.8	22.0	23.2	23.4	25.2	26.4
Debt (% of GDP)	36.1	36.1	36.7	35.6	36.1	36.3
Primary Balance (% of GDP)	-4.3	-6.5	-4.2	-4.9	-3.1	-2.7
GHG emissions growth (mtCO2e)	1.8	2.4	4.0	5.7	6.9	7.9
Energy related GHG emissions (% of total)	21.0	23.0	25.7	29.2	33.4	37.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.

Notes: e = estimate, f = forecast.